What was your worst month?

I lost 10 percent in October 2003.

How is that possible given that you are only risking 10 basis points on each trade?

For me to be down 10 percent from a standing start would be a death by 1,000 cuts. But the drawdown on a trade can be much larger than the original risk if there is a large open profit. The 10 percent loss month followed a 10 percent gain in the previous month. I was long fixed income big-time, and the unemployment report was extremely positive. It led to a giant reversal. But I had made 200 percent over the course of the prior few years trading this one theme. That reversal turned out to be the end of the theme. If I look back, would I be willing to do the same thing again? Sure I would; I would be happy to have a huge run and give back 10 percent. I had a lot of risk on because I was being paid to take risk. I can get hit when I have been getting paid, but it is hard for me to get hit from a standing start. That is the key.

If you don't have any positions with large open profits, what would be a really bad month for you?

A 2 percent or 3 percent loss.

Besides looking at charts and chart patterns, do you use any technical indicators?

I use the Relative Strength Index (RSI), but not as an overbought/oversold indicator; instead, I look for divergences between the RSI and price. I look at the 200-day moving average and Fibonacci retracements. If the market sells off to the 200-day moving average and I'm short, I may be inclined to take the money off the table and watch how the market reacts. I particularly like to get combined signals, such as the price approaching the 200-day moving average and a 50 percent retracement. I'll pay a lot of attention to that type of indicator combination.

What personal characteristics do you think were instrumental to your being successful as a trader?

Discipline.